QUARTERLY INVESTOR REPORT

Beacon Self Storage | Buffalo, NY

Investment	Beacon Self Storage
Quarter	4Q 2026
Report Date	June 9, 2023
Sponsor	Cascadia Rock Capital
Occupancy	96.2%

Risk Considerations

Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Projected levered IRR is 14.0% with an equity multiple of 1.11x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Physical occupancy is 94.3% and the average in-place rent is $105 per unit per month. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

Management Commentary

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Physical occupancy is 92.6% and the average in-place rent is $105 per unit per month. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 22 additional team members.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 2th business day. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Physical occupancy is 92.3% and the average in-place rent is $105 per unit per month. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability.

Investment Overview

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 6.6% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Physical occupancy is 94.9% and the average in-place rent is $105 per unit per month. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

Leasing and Marketing

Physical occupancy is 94.8% and the average in-place rent is $105 per unit per month. The manager completes a monthly walk of the property and submits a variance report to the owner by the 8th business day. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 32 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Business Plan Progress

Projected levered IRR is 9.0% with an equity multiple of 1.38x over the hold period. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Physical occupancy is 92.8% and the average in-place rent is $105 per unit per month. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns.

The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Management Commentary

Service requests are tracked through a work-order system with an average completion time of 41 hours. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 34 additional team members. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

Service requests are tracked through a work-order system with an average completion time of 46 hours. Physical occupancy is 90.6% and the average in-place rent is $105 per unit per month. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 3 additional team members.

Investment Overview

Projected levered IRR is 6.0% with an equity multiple of 1.39x over the hold period. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns.

Distributions to investors for the quarter were paid at an annualized rate of 7.3% on contributed capital. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Physical occupancy is 90.7% and the average in-place rent is $105 per unit per month. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 11.5% with an equity multiple of 1.15x over the hold period.

Management Commentary

The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Service requests are tracked through a work-order system with an average completion time of 48 hours. Collections for the period were 94.2% of billed charges, with bad debt of 4.7% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 32th business day.

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 21th business day. Service requests are tracked through a work-order system with an average completion time of 31 hours. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Investor Distributions

The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
HVAC replacement	Interior	02/10/26	Q4 2027	$793,000	$305,015	Bidding
Lobby renovation	Building	12/29/25	Q2 2027	$511,000	$508,379	Approved
Lobby renovation	Building	07/26/23	Q4 2026	$8,000	$408	Bidding
Storefront glazing	Site	01/19/24	Q1 2025	$14,000	$568	Bidding
Storefront glazing	Site	02/21/23	Q4 2025	$284,000	$286,174	Deferred
Pool resurfacing	Interior	12/10/25	Q4 2025	$296,000	$53,206	Bidding
Amenity renovation	Building	03/06/26	Q4 2025	$471,000	$283,858	In progress
Sewer line repair	Interior	11/17/23	Q3 2027	$824,000	$454,425	Complete
Elevator modernization	Site	12/08/25	Q3 2027	$91,000	$31,243	Complete
Security camera upgrade	Interior	01/06/26	Q3 2026	$429,000	$349,002	Deferred
Landscape / irrigation	Building	03/28/24	Q1 2026	$413,000	$318,856	Complete
Amenity renovation	Site	02/07/24	Q3 2027	$877,000	$36,604	Complete
Landscape / irrigation	Energy	02/01/23	Q2 2027	$117,000	$68,943	Approved
Fire alarm panel upgrade	Site	02/01/26	Q3 2027	$634,000	$422,927	Complete
Landscape / irrigation	Building	12/14/23	Q2 2025	$217,000	$141,175	Deferred
Elevator modernization	Site	02/15/26	Q3 2025	$489,000	$317,400	Approved
Water heater replacement	Site	01/13/26	Q1 2026	$79,000	$12,316	In progress
Parking lot resurfacing	Building	07/20/23	Q3 2026	$61,000	$26,188	Deferred
Parking lot resurfacing	Building	03/11/24	Q1 2027	$769,000	$184,116	Deferred
HVAC replacement	Interior	06/23/24	Q2 2026	$276,000	$143,273	Approved
Pool resurfacing	Energy	09/02/25	Q4 2027	$693,000	$380,233	Deferred
Signage / monument	Life Safety	08/26/25	Q2 2025	$789,000	$644,030	Deferred
Exterior paint	Energy	02/27/25	Q1 2027	$94,000	$63,844	Deferred
Roof replacement - Bldg A	Site	07/04/23	Q4 2027	$465,000	$467,676	Approved
Parking lot resurfacing	Building	07/21/26	Q4 2026	$596,000	$183,263	Approved
Sewer line repair	Site	03/16/25	Q3 2027	$595,000	$257,876	Bidding
Security camera upgrade	Building	01/01/26	Q4 2026	$586,000	$94,305	Complete
Signage / monument	Site	06/05/26	Q3 2026	$10,000	$8,663	In progress
Signage / monument	Building	10/29/23	Q3 2027	$808,000	$645,912	Deferred
Landscape / irrigation	Interior	05/06/23	Q4 2027	$384,000	$198,045	In progress
Parking lot resurfacing	Life Safety	12/02/24	Q1 2025	$562,000	$396,706	Bidding
Pool resurfacing	Energy	03/29/24	Q2 2026	$712,000	$616,657	Bidding
LED lighting retrofit	Building	10/17/23	Q2 2025	$836,000	$863,572	Bidding
LED lighting retrofit	Site	08/31/23	Q2 2027	$275,000	$163,896	Deferred
HVAC replacement	Site	06/18/26	Q2 2025	$761,000	$639,507	Complete
Landscape / irrigation	Interior	05/20/24	Q2 2025	$529,000	$393,674	Deferred
Fire alarm panel upgrade	Energy	09/10/26	Q1 2025	$253,000	$100,885	Complete
Water heater replacement	Energy	03/21/23	Q1 2026	$604,000	$470,834	Approved
Water heater replacement	Energy	07/11/26	Q3 2026	$62,000	$6,204	In progress
Pool resurfacing	Building	07/30/24	Q1 2025	$295,000	$34,614	Bidding
ADA compliance	Energy	02/11/23	Q4 2027	$800,000	$78,623	Complete

Report generated 06/09/2023. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Financial Analysis

Effective gross income for the trailing period was $265,000, representing a 9.3% increase over the prior year. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Net operating income is projected to grow at a compound annual rate of 4.2% over the hold period. Physical occupancy is 89.8% and the average in-place rent is $105 per unit per month.

Management fees are calculated at 7.5% of collected revenue and are included in operating expenses. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. The going-in capitalization rate of 5.05% reflects the in-place income and the stabilized occupancy assumption. Physical occupancy is 94.6% and the average in-place rent is $105 per unit per month.

Demographics and Employment

The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Physical occupancy is 88.1% and the average in-place rent is $105 per unit per month. The Buffalo Self Storage market has experienced absorption of 600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors. Median household income within a 3-mile radius of the property is approximately $357,000 and has grown 8.2% annually.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Median household income within a 9-mile radius of the property is approximately $206,000 and has grown 13.4% annually. Physical occupancy is 96.7% and the average in-place rent is $105 per unit per month. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

Valuation Discussion

The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. The going-in capitalization rate of 7.57% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 7.8% of collected revenue and are included in operating expenses. Operating expenses totaled $345,000 or approximately 43.23 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 3.2% over the hold period.

The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Operating expenses totaled $445,000 or approximately 15.17 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.11x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 7.9% of collected revenue and are included in operating expenses.

Market Overview

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Beacon Self Storage is located in Buffalo, NY, a market that has recorded 11.9% population growth over the last five years. Median household income within a 8-mile radius of the property is approximately $88,000 and has grown 6.7% annually. Rent growth in the submarket has averaged 7.4% annually over the past 7 years. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability.

Employment growth is led by healthcare, logistics, education and professional services sectors. The Buffalo Self Storage market has experienced absorption of 1300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Market vacancy for comparable Self Storage product stands at 11.4%, down from 3.6% two years ago. Median household income within a 4-mile radius of the property is approximately $132,000 and has grown 12.4% annually. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

Financial Analysis

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Net operating income is projected to grow at a compound annual rate of 3.0% over the hold period. Operating expenses totaled $381,000 or approximately 27.69 per square foot, with real estate taxes representing the largest line item. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. The going-in capitalization rate of 7.83% reflects the in-place income and the stabilized occupancy assumption.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$91,375	$96,958	$101,884	$10,509	11.5%	$163.80
5010 Loss to Lease	$55,651	$58,826	$59,531	$3,881	7.0%	$95.71
5020 Vacancy Loss	$22,539	$23,593	$23,854	$1,315	5.8%	$38.35
5030 Concessions	$83,340	$79,291	$79,772	-$3,568	-4.3%	$128.25
5040 Bad Debt	$89,424	$94,738	$99,350	$9,926	11.1%	$159.73
5050 Late Fees	$52,709	$48,524	$49,164	-$3,544	-6.7%	$79.04
5060 Utility Reimbursements	$27,445	$29,472	$30,950	$3,506	12.8%	$49.76
5070 Parking Income	$63,352	$60,742	$64,780	$1,429	2.3%	$104.15
5080 Application Fees	$36,360	$33,898	$35,909	-$452	-1.2%	$57.73
5090 Pet Rent	$108,029	$114,299	$115,013	$6,984	6.5%	$184.91
5100 Laundry Income	$97,662	$104,239	$107,346	$9,683	9.9%	$172.58
5110 Cable/Internet Revenue	$103,961	$96,412	$101,349	-$2,612	-2.5%	$162.94
5120 CAM Reimbursements	$21,766	$21,790	$22,769	$1,003	4.6%	$36.61
5130 Tax Reimbursements	$105,578	$111,050	$113,910	$8,333	7.9%	$183.14
5140 Insurance Reimbursements	$66,485	$65,425	$69,417	$2,931	4.4%	$111.60
5150 Percentage Rent	$83,588	$86,463	$89,003	$5,415	6.5%	$143.09
5160 Misc. Income	$64,510	$64,521	$66,637	$2,127	3.3%	$107.13
5170 Payroll - Management	$101,438	$100,031	$104,236	$2,798	2.8%	$167.58
5180 Payroll - Leasing	$47,270	$44,722	$45,820	-$1,450	-3.1%	$73.67
5190 Payroll - Maintenance	$58,365	$62,245	$64,082	$5,717	9.8%	$103.03
5200 Payroll Taxes & Benefits	$21,877	$23,094	$23,852	$1,975	9.0%	$38.35
5210 Repairs - Plumbing	$50,897	$54,729	$55,646	$4,749	9.3%	$89.46
5220 Repairs - HVAC	$21,018	$20,839	$21,024	$6	0.0%	$33.80
5230 Repairs - Electrical	$49,704	$51,208	$52,813	$3,109	6.3%	$84.91
5240 Repairs - Appliances	$90,627	$86,690	$92,287	$1,660	1.8%	$148.37
5250 Painting & Decorating	$86,164	$92,768	$95,262	$9,097	10.6%	$153.15
5260 Flooring	$78,275	$83,177	$84,758	$6,483	8.3%	$136.27
5270 Make-Ready / Turnover	$72,591	$68,974	$71,299	-$1,292	-1.8%	$114.63
5280 Landscaping Contract	$102,216	$100,756	$104,726	$2,511	2.5%	$168.37
5290 Snow Removal	$104,717	$109,675	$117,037	$12,321	11.8%	$188.16
5300 Janitorial	$95,240	$102,729	$105,303	$10,063	10.6%	$169.30
5310 Pest Control	$56,289	$58,049	$58,523	$2,234	4.0%	$94.09
5320 Trash Removal	$85,424	$82,333	$85,235	-$189	-0.2%	$137.03
5330 Elevator Contract	$47,289	$47,129	$47,525	$237	0.5%	$76.41
5340 Fire & Life Safety	$21,984	$20,673	$21,597	-$387	-1.8%	$34.72
5350 Security	$84,202	$80,023	$81,540	-$2,662	-3.2%	$131.09
5360 Electricity - Common	$58,251	$55,563	$57,572	-$679	-1.2%	$92.56
5370 Gas - Common	$41,950	$39,548	$40,071	-$1,879	-4.5%	$64.42
5380 Water & Sewer	$17,600	$16,459	$16,883	-$718	-4.1%	$27.14
5390 Telephone/Internet	$81,927	$83,296	$88,383	$6,456	7.9%	$142.10
5400 Advertising	$67,346	$70,593	$71,678	$4,332	6.4%	$115.24
5410 Resident Events	$101,597	$108,568	$111,081	$9,484	9.3%	$178.59

Report generated 06/09/2023. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Investor Distributions

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 7.9% on contributed capital.

Distributions to investors for the quarter were paid at an annualized rate of 4.3% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

Property Operations

The manager completes a monthly walk of the property and submits a variance report to the owner by the 32th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 27 additional team members. Collections for the period were 93.0% of billed charges, with bad debt of 4.5% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Collections for the period were 88.2% of billed charges, with bad debt of 5.3% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 17th business day.

Risk Considerations

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 3.4% on contributed capital. Physical occupancy is 90.5% and the average in-place rent is $105 per unit per month. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 10.4% with an equity multiple of 1.10x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 5.4% on contributed capital.

Management Commentary

The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 26 additional team members. Physical occupancy is 91.9% and the average in-place rent is $105 per unit per month. The manager completes a monthly walk of the property and submits a variance report to the owner by the 26th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. The manager completes a monthly walk of the property and submits a variance report to the owner by the 42th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Physical occupancy is 91.9% and the average in-place rent is $105 per unit per month. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability.

Investor Distributions

Projected levered IRR is 5.4% with an equity multiple of 1.6x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Physical occupancy is 93.5% and the average in-place rent is $105 per unit per month. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns.

Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Pool resurfacing	Life Safety	02/20/26	Q2 2027	$29,000	$2,426	In progress
LED lighting retrofit	Building	12/10/24	Q2 2025	$800,000	$683,231	Bidding
Fire alarm panel upgrade	Energy	04/25/24	Q4 2027	$75,000	$1,840	Deferred
ADA compliance	Building	03/05/23	Q2 2027	$162,000	$115,994	Deferred
Elevator modernization	Building	12/29/26	Q4 2026	$204,000	$138,591	Complete
Parking lot resurfacing	Interior	03/05/25	Q1 2027	$416,000	$436,393	In progress
Amenity renovation	Interior	06/09/26	Q4 2026	$823,000	$456,712	Approved
Fence replacement	Life Safety	12/21/25	Q2 2025	$794,000	$641,631	Bidding
Storefront glazing	Building	03/11/26	Q3 2025	$21,000	$2,802	Deferred
Elevator modernization	Building	03/09/23	Q2 2026	$897,000	$717,445	Deferred
Fire alarm panel upgrade	Building	04/16/26	Q4 2025	$232,000	$108,242	Approved
LED lighting retrofit	Life Safety	02/21/26	Q4 2027	$358,000	$70,378	Bidding
Unit interior upgrades	Energy	10/19/26	Q2 2026	$206,000	$41,350	Deferred
Security camera upgrade	Interior	11/24/25	Q2 2027	$298,000	$130,368	In progress
Unit interior upgrades	Life Safety	06/02/26	Q1 2025	$638,000	$277,850	Bidding
Fire alarm panel upgrade	Site	06/29/23	Q4 2025	$718,000	$740,653	Complete
Sewer line repair	Energy	01/06/23	Q2 2026	$650,000	$486,836	Bidding
Exterior paint	Energy	02/18/23	Q3 2025	$837,000	$566,022	Complete
HVAC replacement	Energy	02/28/26	Q2 2026	$743,000	$170,828	Complete
HVAC replacement	Energy	04/03/25	Q2 2027	$367,000	$79,083	Approved
Exterior paint	Building	09/20/26	Q2 2026	$529,000	$89,942	Complete
Lobby renovation	Life Safety	05/14/26	Q4 2025	$192,000	$187,531	Bidding
Pool resurfacing	Energy	01/28/25	Q4 2025	$250,000	$96,653	Bidding
Sewer line repair	Energy	01/07/23	Q2 2026	$698,000	$311,102	Deferred
Storefront glazing	Energy	11/29/24	Q3 2025	$823,000	$268,696	Approved
Storefront glazing	Interior	08/11/23	Q3 2027	$302,000	$15,819	In progress
Door hardware	Site	08/24/25	Q3 2027	$385,000	$230,528	In progress
Sewer line repair	Building	09/29/24	Q3 2026	$848,000	$349,688	Complete
Landscape / irrigation	Life Safety	10/30/23	Q1 2025	$591,000	$53,301	Approved
Pool resurfacing	Energy	11/10/24	Q3 2027	$726,000	$200,972	Approved
Landscape / irrigation	Building	01/30/25	Q4 2026	$428,000	$388,455	Bidding
Storefront glazing	Building	03/31/26	Q1 2026	$597,000	$42,573	Deferred
ADA compliance	Energy	03/31/24	Q1 2027	$503,000	$440,703	In progress
HVAC replacement	Interior	02/19/23	Q3 2026	$390,000	$106,838	Complete
Fence replacement	Energy	12/06/25	Q1 2026	$230,000	$199,226	Deferred
Pool resurfacing	Life Safety	07/10/26	Q3 2025	$823,000	$817,038	Deferred
Fire alarm panel upgrade	Site	01/10/26	Q4 2026	$798,000	$105,247	Bidding
Elevator modernization	Site	06/22/26	Q3 2025	$124,000	$79,443	Complete
HVAC replacement	Interior	11/18/25	Q4 2027	$399,000	$352,191	Complete
Landscape / irrigation	Energy	09/27/25	Q2 2025	$451,000	$432,573	Complete
Signage / monument	Life Safety	01/21/23	Q4 2026	$229,000	$125,776	Complete
Roof replacement - Bldg C	Building	11/14/25	Q4 2027	$180,000	$134,563	Complete

Report generated 06/09/2023. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Operating Performance

The going-in capitalization rate of 6.84% reflects the in-place income and the stabilized occupancy assumption. Physical occupancy is 91.3% and the average in-place rent is $105 per unit per month. Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Effective gross income for the trailing period was $332,000, representing a 10.8% increase over the prior year. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

Net operating income is projected to grow at a compound annual rate of 3.8% over the hold period. Physical occupancy is 96.1% and the average in-place rent is $105 per unit per month. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $135,000, representing a 4.5% increase over the prior year.

Market Overview

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Employment growth is led by healthcare, logistics, education and professional services sectors. The Buffalo Self Storage market has experienced absorption of 2800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Rent growth in the submarket has averaged 7.9% annually over the past 11 years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Investor demand for Self Storage assets in Buffalo remains strong with recent trades at capitalization rates between 6.64% and 6.64%. The Buffalo Self Storage market has experienced absorption of 3300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability.

Operating Performance

The going-in capitalization rate of 6.58% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period. Management fees are calculated at 7.3% of collected revenue and are included in operating expenses.

The going-in capitalization rate of 7.03% reflects the in-place income and the stabilized occupancy assumption. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Operating expenses totaled $244,000 or approximately 20.50 per square foot, with real estate taxes representing the largest line item. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability.

Market Overview

Physical occupancy is 95.6% and the average in-place rent is $105 per unit per month. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Median household income within a 8-mile radius of the property is approximately $241,000 and has grown 3.4% annually. Market vacancy for comparable Self Storage product stands at 2.3%, down from 5.7% two years ago.

Employment growth is led by healthcare, logistics, education and professional services sectors. Rent growth in the submarket has averaged 3.9% annually over the past 9 years. The Buffalo Self Storage market has experienced absorption of 1100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Market vacancy for comparable Self Storage product stands at 2.2%, down from 4.9% two years ago.

Valuation Discussion

Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Management fees are calculated at 3.2% of collected revenue and are included in operating expenses. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Effective gross income for the trailing period was $228,000, representing a 5.1% increase over the prior year. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Debt service coverage ratio was 6.55x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5410 Resident Events	$53,854	$57,103	$59,052	$5,198	9.7%	$94.94
5420 Office Supplies	$68,906	$65,644	$68,249	-$658	-1.0%	$109.72
5430 Legal & Professional	$58,136	$61,101	$64,343	$6,206	10.7%	$103.44
5440 Accounting & Audit	$89,967	$84,326	$89,359	-$608	-0.7%	$143.66
5450 Licenses & Permits	$81,079	$80,613	$84,442	$3,362	4.1%	$135.76
5460 Management Fee	$41,916	$41,267	$42,196	$280	0.7%	$67.84
5470 Property Insurance	$52,510	$53,834	$56,764	$4,254	8.1%	$91.26
5480 Real Estate Taxes	$23,505	$24,268	$25,747	$2,242	9.5%	$41.39
5490 Asset Management Fee	$85,605	$91,444	$93,081	$7,475	8.7%	$149.65
5500 Replacement Reserves	$98,178	$98,622	$102,899	$4,721	4.8%	$165.43
5510 Roof Repairs	$18,449	$19,406	$20,459	$2,010	10.9%	$32.89
5520 Parking Lot Repairs	$59,249	$58,548	$60,038	$789	1.3%	$96.52
5530 Signage	$15,491	$15,286	$16,281	$789	5.1%	$26.17
5540 Tenant Improvements	$82,072	$80,090	$82,413	$341	0.4%	$132.50
5550 Leasing Commissions	$86,306	$85,384	$90,789	$4,483	5.2%	$145.96
5000 Gross Potential Rent	$108,341	$100,320	$106,401	-$1,940	-1.8%	$171.06
5010 Loss to Lease	$107,466	$103,896	$105,156	-$2,310	-2.1%	$169.06
5020 Vacancy Loss	$62,629	$63,456	$63,463	$834	1.3%	$102.03
5030 Concessions	$50,348	$48,896	$51,173	$824	1.6%	$82.27
5040 Bad Debt	$91,580	$85,301	$85,618	-$5,963	-6.5%	$137.65
5050 Late Fees	$95,265	$97,308	$100,870	$5,606	5.9%	$162.17
5060 Utility Reimbursements	$5,115	$5,157	$5,249	$134	2.6%	$8.44
5070 Parking Income	$13,038	$12,426	$12,433	-$605	-4.6%	$19.99
5080 Application Fees	$32,350	$32,733	$33,238	$888	2.7%	$53.44
5090 Pet Rent	$64,767	$66,271	$70,615	$5,848	9.0%	$113.53
5100 Laundry Income	$34,005	$31,851	$32,758	-$1,247	-3.7%	$52.67
5110 Cable/Internet Revenue	$77,563	$73,985	$77,241	-$322	-0.4%	$124.18
5120 CAM Reimbursements	$97,041	$97,761	$98,962	$1,921	2.0%	$159.10
5130 Tax Reimbursements	$23,051	$24,154	$25,054	$2,003	8.7%	$40.28
5140 Insurance Reimbursements	$65,289	$64,208	$67,351	$2,062	3.2%	$108.28
5150 Percentage Rent	$48,387	$48,336	$50,217	$1,830	3.8%	$80.73
5160 Misc. Income	$25,658	$27,680	$29,140	$3,482	13.6%	$46.85
5170 Payroll - Management	$45,118	$42,423	$44,905	-$213	-0.5%	$72.20
5180 Payroll - Leasing	$46,822	$50,020	$53,481	$6,659	14.2%	$85.98
5190 Payroll - Maintenance	$106,442	$111,671	$116,767	$10,325	9.7%	$187.73
5200 Payroll Taxes & Benefits	$16,829	$16,737	$16,940	$112	0.7%	$27.24
5210 Repairs - Plumbing	$23,096	$21,924	$23,213	$117	0.5%	$37.32
5220 Repairs - HVAC	$17,070	$16,945	$18,068	$998	5.8%	$29.05
5230 Repairs - Electrical	$37,807	$38,147	$38,943	$1,136	3.0%	$62.61
5240 Repairs - Appliances	$43,994	$46,653	$47,496	$3,502	8.0%	$76.36
5250 Painting & Decorating	$62,140	$64,557	$69,043	$6,903	11.1%	$111.00

Report generated 06/09/2023. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Investor Distributions

Projected levered IRR is 5.4% with an equity multiple of 1.39x over the hold period. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Distributions to investors for the quarter were paid at an annualized rate of 4.1% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Distributions to investors for the quarter were paid at an annualized rate of 7.5% on contributed capital. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Projected levered IRR is 10.2% with an equity multiple of 1.33x over the hold period. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

Property Operations

Service requests are tracked through a work-order system with an average completion time of 25 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Physical occupancy is 95.5% and the average in-place rent is $105 per unit per month. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Collections for the period were 89.5% of billed charges, with bad debt of 4.3% of gross potential income.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 11 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 41 hours. Physical occupancy is 89.7% and the average in-place rent is $105 per unit per month.

Investor Distributions

Distributions to investors for the quarter were paid at an annualized rate of 3.2% on contributed capital. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Projected levered IRR is 2.5% with an equity multiple of 1.29x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability.

The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Physical occupancy is 90.1% and the average in-place rent is $105 per unit per month. Projected levered IRR is 14.0% with an equity multiple of 1.29x over the hold period. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

Management Commentary

Service requests are tracked through a work-order system with an average completion time of 28 hours. Physical occupancy is 95.7% and the average in-place rent is $105 per unit per month. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 45 additional team members. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The manager completes a monthly walk of the property and submits a variance report to the owner by the 44th business day. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 2th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 5 additional team members. Collections for the period were 92.4% of billed charges, with bad debt of 4.7% of gross potential income. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

Business Plan Progress

Physical occupancy is 95.0% and the average in-place rent is $105 per unit per month. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Projected levered IRR is 6.8% with an equity multiple of 1.4x over the hold period.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Signage / monument	Energy	01/04/23	Q4 2026	$762,000	$224,600	In progress
Lobby renovation	Interior	11/08/25	Q2 2027	$391,000	$248,614	Complete
Security camera upgrade	Building	02/15/26	Q1 2027	$292,000	$234,456	Complete
Parking lot resurfacing	Site	07/19/24	Q3 2026	$223,000	$133,764	In progress
Lobby renovation	Site	10/11/23	Q2 2026	$355,000	$266,990	Approved
Pool resurfacing	Energy	01/03/24	Q3 2025	$736,000	$163,689	Bidding
LED lighting retrofit	Energy	08/28/23	Q2 2026	$300,000	$284,967	Approved
Landscape / irrigation	Building	04/20/24	Q1 2027	$51,000	$50,110	In progress
Sewer line repair	Site	07/27/26	Q2 2026	$325,000	$285,884	Bidding
Security camera upgrade	Interior	05/04/23	Q2 2026	$87,000	$29,842	Complete
Unit interior upgrades	Interior	12/17/26	Q4 2025	$608,000	$603,378	Approved
LED lighting retrofit	Life Safety	02/08/26	Q2 2026	$324,000	$122,300	In progress
Storefront glazing	Energy	12/15/24	Q2 2026	$692,000	$503,696	Approved
Roof replacement - Bldg D	Energy	05/27/26	Q2 2026	$316,000	$95,958	In progress
Exterior paint	Building	01/28/23	Q1 2026	$564,000	$586,897	Bidding
HVAC replacement	Building	06/15/25	Q4 2025	$40,000	$39,195	Complete
Elevator modernization	Interior	10/22/24	Q3 2026	$728,000	$66,097	Approved
Elevator modernization	Life Safety	05/01/26	Q3 2025	$57,000	$51,677	In progress
Signage / monument	Interior	10/27/23	Q1 2027	$306,000	$227,417	In progress
Door hardware	Site	06/22/26	Q4 2026	$511,000	$185,893	Bidding
Amenity renovation	Site	03/01/26	Q3 2026	$411,000	$26,542	Deferred
Roof replacement - Bldg A	Energy	08/19/24	Q3 2025	$188,000	$180,318	Complete
Water heater replacement	Site	09/24/25	Q3 2027	$783,000	$58,037	Bidding
Sewer line repair	Building	02/15/24	Q1 2027	$899,000	$704,478	Deferred
Security camera upgrade	Energy	04/19/26	Q2 2026	$650,000	$181,804	In progress
Unit interior upgrades	Life Safety	01/29/25	Q2 2025	$386,000	$239,309	Bidding
Unit interior upgrades	Site	12/15/23	Q1 2025	$561,000	$178,972	Deferred
Fire alarm panel upgrade	Energy	05/07/25	Q4 2027	$422,000	$95,775	Complete
LED lighting retrofit	Life Safety	09/19/25	Q3 2025	$360,000	$177,323	Bidding
Door hardware	Interior	02/14/23	Q3 2025	$884,000	$657,631	In progress
Door hardware	Site	02/17/23	Q1 2025	$849,000	$451,209	Complete
Storefront glazing	Energy	05/27/23	Q3 2027	$100,000	$98,734	Bidding
Storefront glazing	Site	01/05/25	Q2 2025	$899,000	$508,510	Deferred
Fence replacement	Life Safety	07/18/24	Q4 2026	$810,000	$220,461	Approved
Security camera upgrade	Life Safety	08/05/23	Q1 2025	$729,000	$435,167	Deferred
ADA compliance	Interior	10/09/24	Q3 2025	$715,000	$585,890	Bidding
Door hardware	Site	04/23/25	Q1 2025	$749,000	$120,816	In progress
Exterior paint	Energy	10/03/25	Q1 2026	$544,000	$493,105	Approved
Parking lot resurfacing	Energy	03/30/26	Q2 2026	$565,000	$21,455	Complete
LED lighting retrofit	Site	04/22/26	Q3 2025	$552,000	$420,014	Deferred

Report generated 06/09/2023. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Disclaimer and Confidentiality

All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of NY. This document relates solely to Beacon Self Storage and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Time is of the essence with respect to each and every provision of this instrument. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of NY. This document relates solely to Beacon Self Storage and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of NY. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This document relates solely to Beacon Self Storage and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Time is of the essence with respect to each and every provision of this instrument. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. This document relates solely to Beacon Self Storage and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Each party represents that it has full power and authority to enter into and perform its obligations hereunder. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of NY. This document relates solely to Beacon Self Storage and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. This document relates solely to Beacon Self Storage and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only